CookieCo: Profitability Case 🍪

BCG-style mock interview · Interviewer: Jenny Rae Le Roux (ex-Bain) · Candidate: Edward

1. Case Prompt

Client = **CookieCo**: national manufacturer + seller of packaged cookies in the **US**.
Last **2–3 yrs**: profits ↓ declining ... but rest of industry = healthy growth ↑
Ask: **find the ROOT CAUSE** + **how to REVERSE it**.

2. Clarifying Qs (Ed asked)

→ Scope = only **US**? → Yes ✔
→ Only cookies, or other packaged goods too? → They sell other stuff, but **focus = cookie segment only**
→ "Can I take a few mins to structure?" → Go for it

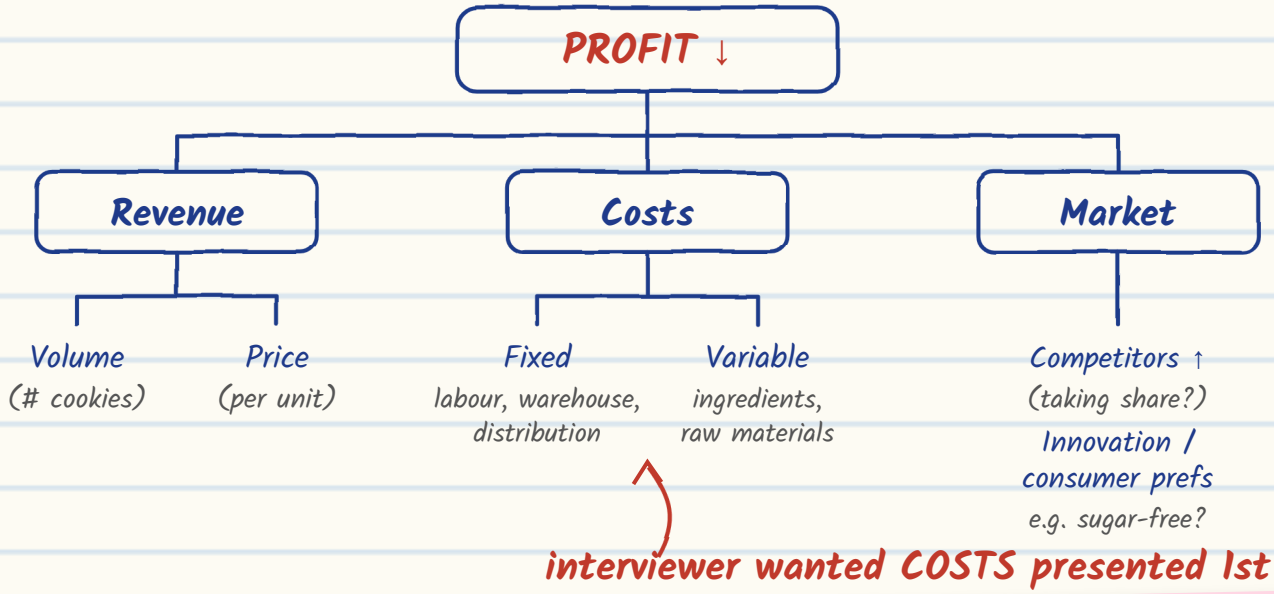
💡 **Feedback:** good Qs, but **say WHY you're asking**, e.g. "outside the US the supply chain gets much more complex, so I'll assume US only." Don't rush into the structure: be in command, not hurried.

3. How the interview flowed

Recap → Clarify Qs → Structure → Hypothesis: Rev or Cost? →
Brainstorm costs → Exhibit 1 → Storage breakdown →
Fix inventory loss → Final rec → Feedback

BCG style = **candidate-led**, conversational. Interviewer: "If there are numbers or exhibits, it's up to you to put them into your structure." Expect to **pivot** as new info comes in!

4. Ed's Framework



Structure score 3/4. To get a 4: ① lead with **costs** (hypothesis-driven: "here's what I think the issue is", not a generic profit tree). ② **Don't stay "high level"**: add depth, e.g. revenue → product mix, discounting, inflation impact. ③ Keep buckets **MECE**: don't let "market" overlap with revenue.

5. Hypothesis: Revenue or Cost?

Market growing + competitors growing ⇒ we're probably selling fine → **margin squeeze** ⇒ root cause = COSTS

Feedback: should have said this up-front, during the recap! "Others are doing well → is it a cost issue? (inflation + strong consumer-goods demand) → probably costs."

6. Costs along the "life of a cookie"

🏭 Make (ingredients, factory) → 📦 Store → 🎁 Package → 🚚 Distribute (drivers, freight)

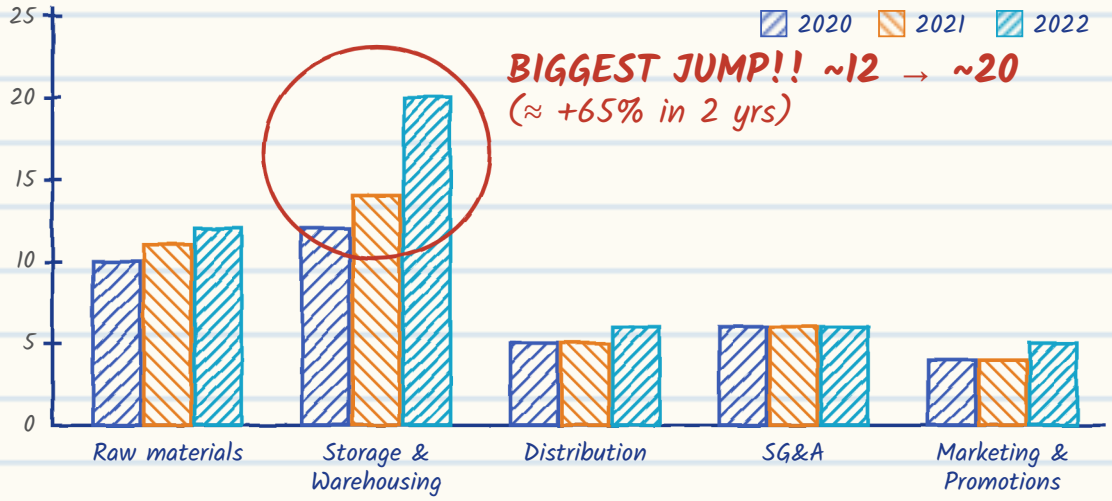
Macro context (2020–22)

→ Pandemic + recession → **labour supply** ↓ (drivers, freight operators) → supply & demand → distribution at a premium

→ But distribution hits the whole market, not just us. Hmm 🤔 doesn't explain why only we are down

→ Ed's #1 pick before data: **distribution** (also wanted raw-material data)

7. Exhibit 1: Cost segments, last 3 yrs ($M)



Reading it left → right (values ≈, read off a low-res video)

→ **Raw materials**: steady, ~linear ↑. Expected (inflation, labour, more demand for ingredients as industry grows). Not scary.

→ **Storage & warehousing**: biggest increase by far → focus here

→ **Distribution**: flat 1 yr, then small ↑ (2022 could be a macro anomaly) → ~~distribution~~ pivot away

→ **SG&A**: flat. **Mktg & promo**: flat, then a small ↑

🔍 **Insight:** distribution ↑ + raw materials ↑ could mean we're **shipping more product** ⇒ revenue likely growing ⇒ confirms the **cost** hypothesis.

⚠ **Math feedback:** Ed said "12% → 22%", but it's **$ millions, NOT %**! State units first, then do the % math out loud for the interviewer.

8. Drill down: Storage & Warehousing

"If we built an Excel sheet, what are the sub-components?"

→ 🏢 **Rent** of the warehouse

→ 🌡️ **Climate control** (not hot/humid)

→ 👷 **Labour** moving stock (like Amazon)

→ 🗑️ **Inventory loss**: cookies EXPIRE

How does expired stock hit the P&L? You pay ~all the cost (make + store, maybe not distribution) and get **$0 revenue** ⇒ pure negative profit.

NEW INFO Inventory losses have **spiked** in the last 2–3 yrs!

9. How to bring inventory losses under control

(Ed asked for 20 sec to organize thoughts ✔)

Root cause	Fix
① Bad **storage conditions**	Climate control (humidity, temp). caveat: packaging should protect too
② Poor **inventory mgmt** (boxes forgotten at the back)	Proper mgmt system + **FIFO**: first in, first out ~~LIFO~~
③ **Over-production** / low turnover	Demand **analytics + forecasting**, so we don't over-make in a recession
④ Product shelf-life too short	Optimize recipe / packaging for freshness

⚠ **Creative feedback (3/4):** question was "suggest ways to bring them under control" = **SOLUTIONS**, but Ed first listed **problems**. Answer the question asked. And **WRITE the brainstorm down**: don't cap the pen!

10. Final Recommendation (elevator pitch to CEO)

Ed's version (2.5/4): storage & warehousing costs too high → fix climate + mgmt systems → risk: spending more without finding the issue

✨ **Better version** (story format + numbered, as the feedback asks)

Context: CookieCo's profits are falling while the market & competitors grow.
Finding: it's a cost problem. Storage & warehousing rose ~$12M → ~$20M in 2 yrs, driven by **inventory losses** (expired cookies).
Recs: 1) FIFO inventory-mgmt system 2) climate-controlled storage 3) better demand forecasting
Risks: 1) upfront spend before savings show 2) forecasting errors. **Next steps:** 1) audit warehouses 2) size the loss by SKU

11. Interviewer Scorecard (out of 4)

Case recap: clear, concise ✔ (add the "macro / cost?" context)	3.5
Clarifying questions: good, but explain *why*	3
Structure: 3 buckets ✔, light on depth; costs should come 1st	3
Case math / exhibit: units ($ vs %), clearer logic	3
Creative / brainstorm: problems ≠ solutions, write it down	3
Final recommendation: needs a story + numbering	2.5

Overall: "Really good job: insightful, layering on insights." Ed's self-review: had to pivot 1–2× (good practice); could've listed more solutions.

12. Key Takeaways ⭐

- ★ Profitability case + growing market ⇒ **state the hypothesis early** (likely costs)
- ★ Give **context for every clarifying Q**. Slow down: be in command, not rushing
- ★ Structure: **hypothesis-led**, go **deep** (not "high level"), keep it **MECE**
- ★ Exhibits: **read the units** first ($M ≠ %), then do the % math out loud
- ★ Answer the **exact** question (solutions ≠ causes)
- ★ **Write brainstorms down**; keep the pen ready, esp. in BCG (it's conversational, you may not know when you're moving on)
- ★ Final rec: **1-line context → finding → numbered recs → numbered risks / next steps**
- ★ Rec is verbal; no need to write it. Notes are for the brainstorming parts

Asking for time to think?
McKinsey → yes ✔
BCG → usually no (conversational)
Bain → maybe. Practise both ways!
If they say no once, never ask again.

Profit tree checklist
Rev = Volume × Price (+ mix, discounts, inflation)
Cost = Fixed + Variable
Market = competitors, innovation, consumer prefs

~ notes made from the "BCG Case Interview Example: CookieCo" video ~